

Another way to trade a big M is to wait for price to find support after the breakout. Consider buying then and riding the recovery. Don't be fooled into buying the stock during a pullback. After a pullback completes, the stock resumes the plunge 55% to 60% of the time (see [Table 6.4](#)).

Return to launch price. I also computed the percentage of time that price, at the ultimate low, met or dropped below the launch price. The last line in the table shows that it reached the launch price just over half the time in bull markets.

One challenge of using this method is to figure out where the launch price is. Often it's the same as the trend start (see the Glossary). The launch price is the location where price begins rising into the big M in earnest. In the first three figures of this chapter, the launch price is point A. In [Figure 6.4](#), it's point B.

After you determine a measure rule target, convert the potential decline into a percentage of the current price. For example, if the height is \$10 and the stock is trading at 50, that's a potential 20% loss ($10/50 \times 100$). [Table 6.3](#) says that in bull markets, big Ms fail to see a stock drop more than 20% about two-thirds (68%) of the time. That suggests a large decline probably won't happen but your trade may be the exception. Visit with [Table 6.3](#) and make the check.

Stop location. Use [Table 6.7](#) to help determine where a stop loss-order should be located. If you're planning to short the stock, then *do* use a stop.

After you locate the stop, determine if the potential loss is big enough that you might need to reconsider the stop location. If you can't find a reasonable loss value (like 8% or less), then abandon the trade. Another big M will come along shortly. I saw the schedule.

Pullback trade. This setup idea should be used only by experienced traders. You can place an order to short the stock a penny below the bottom of the big M and cover at the bottom of the pullback. [Table 6.4](#) can help determine your chance of making money using this technique.

In more than two out of every three trades (67% in bull markets, from [Table 6.4](#)) a big M will show a pullback within a month of the breakout, often in the first week.